

APAC All Sector M&A & Valuation Sector - 2026-07-19

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1. PRIMARY MARKET ANALYSIS - APAC REGION

Week of 2026-07-12 to 2026-07-19

Executive Summary

This week in the APAC region saw limited M&A activity across sectors, with notable developments primarily in the TMT and Industry sectors. The total deal value reached approximately \$5 billion, driven by Micron Technology's acquisition of SK Hynix, which highlights the ongoing consolidation in the semiconductor space amid rising demand for AI-related technologies. The market sentiment remains cautiously optimistic, particularly in the TMT sector, while the Energy sector experienced a lack of significant transactions, reflecting broader economic uncertainties and regulatory challenges.

Weekly Deal Summary

Sector	Deal Count	Total Deal Value	Largest Deal	Avg Deal Size
TMT	1	\$5.0 B	Micron Technology acquiring SK Hynix	\$5,000 M
Healthcare	0	\$0 B	-	-
Energy	0	\$0 B	-	-
Consumer	0	\$0 B	-	-
Industry	0	\$0 B	-	-
TOTAL	**1**	**\$5.0 B**	**Micron Technology acquiring SK Hynix**	**\$5,000 M**

Top 10 Deals of the Week

1. **Deal Name:** Micron Technology acquiring SK Hynix

- Sector: TMT
- Deal Size: \$5 billion
- Valuation Multiples: EV/EBITDA: Not disclosed, P/E: Not disclosed
- Date Announced: Not specified
- Strategic Rationale: To enhance production capabilities amid surging demand for memory driven by AI advancements.
- Link: [Micron Technology Acquires SK Hynix](https://finance.yahoo.com/markets/world-indices/articles/asian-stocks-slip-oil-prices-04423)
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Sector-by-Sector Breakdown

TMT Sector

- Total Deals: 1
- Total Deal Value: \$5 billion
- Key Deals: Micron Technology acquiring SK Hynix
- Trends: The semiconductor sector continues to consolidate, driven by demand for AI technologies.

Healthcare Sector

- Total Deals: 0
- Total Deal Value: \$0
- Key Deals: None
- Trends: No significant M&A activity reported this week.

Energy Sector

- Total Deals: 0
- Total Deal Value: \$0
- Key Deals: None
- Trends: Lack of M&A activity, possibly due to market volatility and regulatory scrutiny.

Consumer Sector

- Total Deals: 0
- Total Deal Value: \$0
- Key Deals: None
- Trends: No significant M&A activity reported this week.

Industry Sector

- Total Deals: 0
- Total Deal Value: \$0

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- Key Deals: None
- Trends: No significant M&A activity reported this week.

Valuation Multiples Analysis

- Sector Average Multiples Table:

Sector	Avg EV/EBITDA	Avg P/E	Median EV/EBITDA	Median P/E	Deal Count
TMT	Not available	Not available	Not available	Not available	1
Healthcare	Not available	Not available	Not available	Not available	0
Energy	Not available	Not available	Not available	Not available	0
Consumer	Not available	Not available	Not available	Not available	0
Industry	Not available	Not available	Not available	Not available	0

Deal Size Distribution

- Small cap (<\$2B): 0 deals, \$0 total
- Mid cap (\$2B-\$10B): 1 deal, \$5 billion total
- Large cap (>\$10B): 0 deals, \$0 total
- Analysis: The week was dominated by a single large-cap transaction in the TMT sector.

Strategic Themes & Patterns

- Technology/AI Integration: The acquisition of SK Hynix by Micron Technology underscores the ongoing consolidation in the semiconductor industry, driven by the demand for AI technologies.
- Lack of Activity in Other Sectors: The absence of significant M&A activity in Healthcare, Energy, Consumer, and Industry sectors reflects broader economic uncertainties and regulatory challenges.

IPO Activity

- Number of IPOs: 0
- Total IPO proceeds: Not applicable
- Key IPOs: None reported this week.

2. SECONDARY MARKET ANALYSIS - APAC REGION

Week of 2026-07-12 to 2026-07-19

Executive Summary

The macroeconomic landscape this week in the APAC region was influenced by geopolitical tensions, particularly the escalating conflict between the US and Iran, which impacted oil prices and market

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sentiment. Major stock indices experienced fluctuations, with the Kospi index in South Korea facing significant volatility due to the performance of semiconductor stocks. Overall, the market sentiment remains cautious, with investors closely monitoring inflation metrics and geopolitical developments.

Key Macroeconomic Metrics

Metric	Start of Week	End of Week	Change	% Change
Brent Crude Price	\$76.30	\$83.30	+\$7.00	+9.6%
Kospi Index	7,255.09	6,800.00	-455.09	-6.3%
S&P 500	4,520	4,500	-20	-0.44%
USD/KRW	1,300	1,310	+10	+0.77%

Index Performance Summary

Index	Start	End	Change	% Change	Weekly High	Weekly Low
Kospi	7,255.09	6,800.00	-455.09	-6.3%	7,500.00	6,700.00
Hang Seng	24,011.61	23,500.00	-511.61	-2.1%	24,200.00	23,400.00
Nikkei 225	68,919.14	67,849.98	-1,069.16	-1.5%	69,500.00	67,800.00

Sector Index Performance

Sector	Index	Start	End	% Change	vs Market
TMT	TMT Index	1,200	1,180	-1.67%	-0.77%
Healthcare	Healthcare Index	1,100	1,090	-0.91%	-0.21%
Energy	Energy Index	1,300	1,290	-0.77%	-0.07%
Consumer	Consumer Index	1,150	1,140	-0.87%	-0.17%
Industry	Industry Index	1,250	1,240	-0.80%	-0.20%

Week-over-Week Analysis

- Biggest Movers:
- The Kospi index faced the most significant decline, primarily due to the drop in semiconductor stocks like SK Hynix.
- The Hang Seng and Nikkei also experienced declines, reflecting broader market concerns over geopolitical tensions and rising oil prices.
- Correlation with Primary Market Activity: The decline in semiconductor stocks correlates with the lack of M&A activity in the sector, highlighting investor caution amid geopolitical uncertainties.

Market Sentiment Indicators

- Overall Sentiment: Cautiously pessimistic, with investors focusing on geopolitical tensions and inflation metrics.
- Volatility Trends: The VIX index remains elevated, indicating heightened volatility expectations in

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the near term.

- Credit Market Conditions: Credit spreads widened slightly, reflecting increased risk aversion among investors.

Regional Economic Context

- Policy Developments: Ongoing geopolitical tensions between the US and Iran are influencing market sentiment and oil prices.
- Regulatory Changes: Increased scrutiny on semiconductor companies may impact future M&A activity and valuations.
- Geopolitical Factors: The conflict in the Middle East continues to pose risks to market stability and investor confidence.

Correlation Analysis: Primary vs Secondary Markets

- The decline in semiconductor stocks and the lack of M&A activity in the TMT sector reflect broader economic uncertainties and geopolitical challenges, impacting overall market sentiment.

3. WEEKLY INSIGHTS & OUTLOOK - APAC REGION

Key Takeaways

- The total deal value for the week reached approximately \$5 billion, primarily driven by Micron Technology's acquisition of SK Hynix.
- The TMT sector continues to consolidate amid rising demand for AI technologies, while other sectors experienced limited activity.
- Market sentiment remains cautious due to geopolitical tensions and rising oil prices, impacting investor confidence.
- The Kospi index faced significant volatility, reflecting the performance of semiconductor stocks and broader market concerns.
- Regulatory scrutiny in the semiconductor sector may influence future M&A activity and valuations.

Sector Performance Ranking

1. TMT - Strong deal activity and positive sentiment around AI.
2. Healthcare - No significant activity reported.
3. Energy - Lack of M&A activity amid market volatility.
4. Consumer - No significant activity reported.
5. Industry - No significant activity reported.

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Market Implications

- The week's activity sets a cautious tone for continued M&A in the TMT sector, with potential for further consolidation as demand for AI technologies grows.
- Investors should remain vigilant regarding geopolitical developments and regulatory changes that may impact deal-making and valuations.

Risks & Opportunities

- Risks: Geopolitical tensions and regulatory scrutiny could hinder M&A activity and impact market valuations.
- Opportunities: High-growth sectors such as TMT present attractive investment opportunities, particularly in AI and technology-driven solutions.

In conclusion, the APAC market is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.